STOCK PITCH · SYSTEMATIC VALUE PORTFOLIO · 29 OCTOBER 2026

# Carrefour

Euronext Paris: CA · Consumer Staples / Food retail · France

*A grocer at a double-digit free-cash-flow yield, with property worth more than the market value*

| OVERWEIGHT | €17.99 | €13.08 | +38% |
|---|---|---|---|
| Rating | Base-case value | Price, 29 Oct 2026 | Upside, 12 months |

Noah Doose · MSc Financial Markets & Investments, SKEMA Business School · Student research, not investment advice

THE CALL

# Overweight: we buy the cash flow and the assets, not a margin recovery

OUR CALL

## OVERWEIGHT

| | |
|---|---|
| Target | €17.99 |
| Price | €13.08 |
| Upside | +38% |
| Horizon | 12 months |
| Conviction | Medium |

1

### Cash flow at a discount

€1.3bn of net FCF in 2025 (€1.6bn excluding Italy) on a €9.3bn market value.

**>10%**

free-cash-flow yield

2

### Assets cover the value

Property appraised at €14.2bn at end-2025, above market value plus net debt.

**€14.2bn**

property, appraised

3

### A simpler group

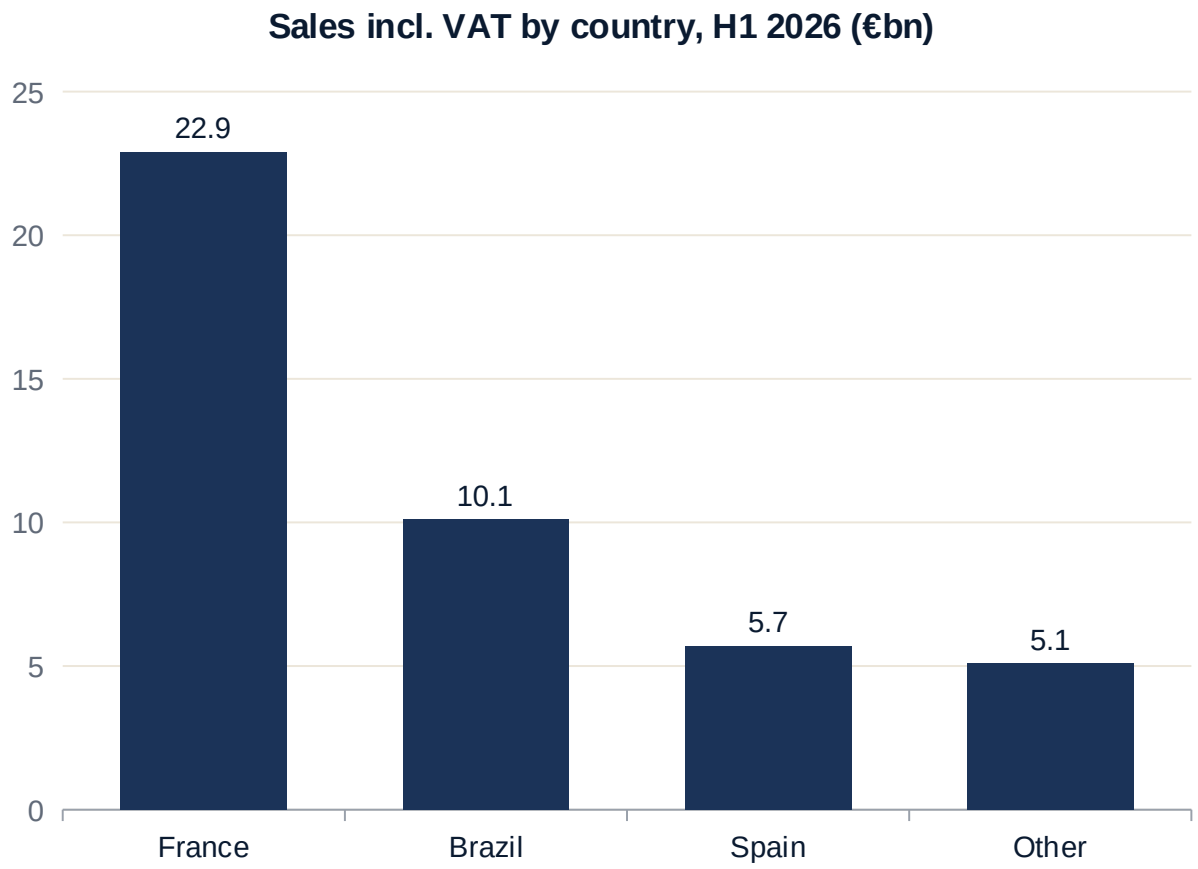
Italy and Romania sold; France, Spain, Brazil make 99% of operating income.

**3**

core countries

*Source: Carrefour FY2025 release, consolidated accounts 2025, 2026 interim report; property appraisal from the 2030 plan (18 Feb 2026).*

# France is half the sales; Brazil and Spain earn the higher margins




### France (No. 2)

Moving to franchise and location-gérance; operating margin 1.5% in H1 2026.

### Brazil (No. 1) and Spain (No. 2)

Margins of 4.0% and 3.3% in H1 2026; Brazil now fully owned.

### Under review

Belgium, Poland and Argentina lost €34m in H1 2026.

*Source: Carrefour 2026 Interim Financial Report.*

# A one-year shock in France on top of a structural price war

**€80-200m**

**2026 profit at risk from the riots**

Management estimate after the October unrest; a one-year hit on €2.2bn.

**+2.2%**

**Like-for-like sales, Q1 2026**

France +1.4%, Spain +3.1%, Brazil −0.8% before the riots.

**~15%**

**Brazil policy rate**

High rates weigh on Atacadão; cuts would help.

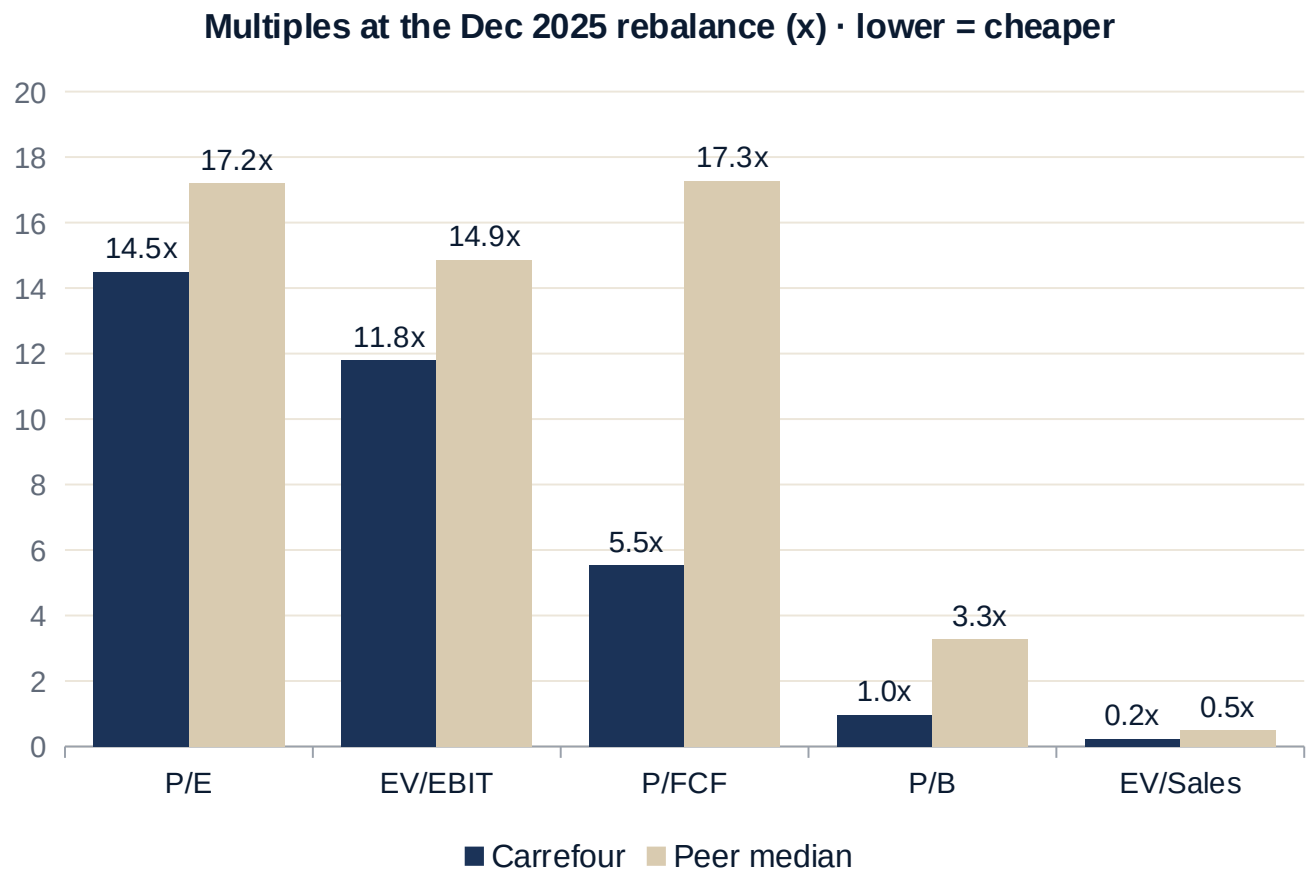
**–€102m**

**FX on 2025 operating income**

Brazilian real and Argentine peso.

*Source: Carrefour Q1 2026 sales release (22 Apr 2026), FY2025 release, Q3 2026 sales release.*

# Ranked 1 of 76 in Consumer Staples: 5.5x free cash flow against 17x for peers




**1 / 76**

**Value rank in its sector**

Sales-to-EV and FCF yield drive the score.

**8 / 10**

**Rebalances held (since Jun 2022)**

H1 2026 return +20.3% vs +10.8% for MSCI World.

**Core: France + Staples**

**In the 70/30 value strategy**

Held through two ETF core lines; not in the satellite in June 2026.

*Source: Thoth Ledger stock screen, Bloomberg data (FY to 2024-12, used with a 6-month lag); peers = same GICS industry group.*

VARIANT PERCEPTION

# The market prices a broken French grocer; we see a one-year shock on a cash machine

| THE MARKET SAYS | WE SAY |
| --- | --- |
| *“The French market is structurally broken.”* | Low-margin, yes; but €1bn a year of savings, half delivered by mid-2026. |
| *“The riots are a lasting hit.”* | €80-200m at risk in 2026 on a €2.2bn profit base: a shock, not a new level. |
| *“The dividend will be cut.”* | The real risk: a 50-60% payout on flat EPS means €0.80-0.96. Our base case assumes a cut. |

FINANCIALS

# Profit dipped in 2025; free cash flow held above €1.3bn

| | FY2024 | FY2025 | H1 2026 | 2026 guide |
|---|---|---|---|---|
| **Recurring operating income** | €2.28bn | €2.16bn | €0.76bn | growth |
| **Adjusted EPS** | €1.74 | €1.60 | €0.49 | stable to up |
| **Net free cash flow** | **€1.46bn** | **€1.31bn** | **−€1.99bn*** | **slight decline** |
| **Net financial debt** | €3.78bn | €3.97bn | €5.85bn* | — |
| **Dividend per share** | €0.92 | €0.97 + €0.21 | — | payout 50-60% |

WHAT TO WATCH

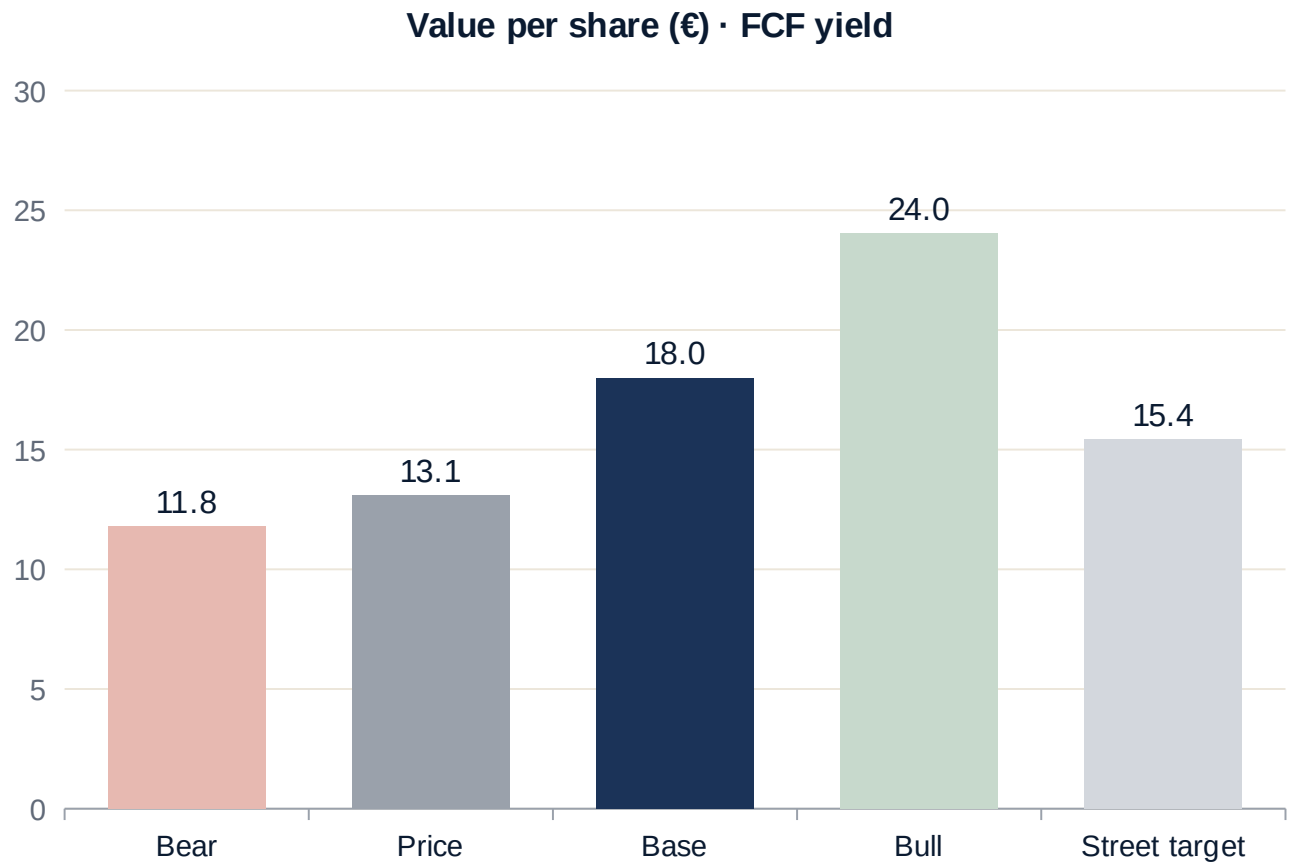
## Feb 2027

FY2026 results: free cash flow against the 'slight decline' guide and the first dividend under the 50-60% payout.

*Source: Carrefour FY2025 release (17 Feb 2026), 2026 Interim Financial Report, Q3 2026 sales. *Seasonal: working capital reverses in H2.*

VALUATION

# €18 base case: €1.4bn of normal free cash flow at an 11% yield




HOW WE GET THERE

**Normalised free cash flow ÷ required yield**

1. **€1.4bn ÷ 11% ÷ 708m shares**
   FCF back near the 2025 level, plan delayed a year.
2. **Bear €11.8, bull €24.0**
   €1.0bn at 12% if France keeps falling; €1.7bn at 10% if the plan delivers.
3. **Property is the floor**
   €14.2bn appraised: a check, not part of the target.

*Source: own valuation; Carrefour FY2025 release; Street target third-party (29 Oct 2026).*

CATALYSTS

# The FY2026 results and the dividend reset the story in February




SOFT

## French unrest

Duration, insurance and state compensation.

HARD

## FY2026 results

Dividend under the new payout; property revaluation.

SOFT

## Portfolio decisions

Belgium, Poland and Argentina.

HARD

## H1 2027 results

First test of the 3.2% margin path to 2028.

**The number to watch:** 2026 net free cash flow close to €1.3bn despite the riots.

RISKS

# The real risk is the dividend, and it is already in our base case

### French unrest persists into 2027

Diversified store base; security costs are one-off.

### Price investment erodes margins

€1bn a year of savings; franchise lowers the cost base.

### Brazil macro and currency

Fully owned No. 1 position; rate cuts would help.

**WE CHANGE THE CALL IF**

- → 2027 operating margin not above 2025's 2.6%
- → 2026-28 net FCF tracking well below €5bn
- → Disposals that dilute EPS without deleveraging

# OVERWEIGHT

## Base case €17.99 · +38%

*A cash machine priced on one bad quarter*

| >10% | €14.2bn | Feb 2027 |
|---|---|---|
| **FCF yield** | **Property appraised** | **Key catalyst** |
| on €9.3bn market value | end-2025 | FY2026 results |

## Questions?

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# Sources and disclosures


[1] Carrefour, "Q4 2025 sales and FY 2025 results", press release, 17 Feb 2026

[2] Carrefour, "Carrefour 2030 Strategic Plan", press release, 18 Feb 2026

[3] Carrefour, "Q2 and H1 2026 results", press release, 23 Jul 2026 (via WebDisclosure)

[4] Carrefour, "Sales Q3 2026", press release, 20 Oct 2026 (via WebDisclosure)

[5] Reuters via Business Day, "Carrefour cuts outlook as French riots hit profits", 20 Oct 2026

[6] Il Sole 24 Ore, "Carrefour slumps in Paris, 2026 target revised downwards", Oct 2026

[7] BFM Bourse / Tradingsat, Carrefour 2030 plan market reaction, 18 Feb 2026

[8] AFP via Fortuneo, "Carrefour chute de plus de 12% en Bourse", 21 Oct 2026

[9] stockanalysis.com, Carrefour SA (EPA:CA) quote page, data as of 29 Oct 2026 (third-party) (third-party market data; to be replaced by Bloomberg, Dec 2026)

[10] Carrefour, "Carrefour announces the sale of Carrefour Romania to Paval Holding", press release, Feb 2026

[11] Carrefour, "First-quarter 2026 sales" press release, 22 Apr 2026 (sales €21.1bn, +2.2% LFL)

[12] Carrefour, 2026 Interim Financial Report (H1 2026)

[13] Carrefour, consolidated financial statements at 31 Dec 2025 with the auditors' report (Note 4: disposal of Carrefour Italy to NewPrinces, effective 1 Dec 2025)



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